

Performance in 2025

We use key performance indicators to measure the Group's implementation of priority projects for the benefit of relevant groups progress achieved while developing a deeper understanding of the Group's overall compensation results.

financial performance indicators

- For details on financial performance in 2025, please see Sections 2 and 14.22
- Statement on performance in achieving the Group's key financial objectives Please see page 12 for details
- In order to be more in line with market practice, starting from the 2025 annual results, we will no longer The post-tax impact of noteworthy items in each period on "average tangible "Share Capital" shall be adjusted. Comparative figures have been restated. This amendment makes Average return on tangible
- About alternative performance measures and basis performance measures For reconciliation, see page 92.

Return on average tangible

13.3%

(2024: 14.6%)

Not counting items that

17.2%

(2024: 15.6%)

Profit before tax

\$29.9 billion

(2024: US\$32.3 billion)

Not counting items that

Profit before tax

\$36.6 billion

(2024: US\$34.2 billion)

operating

\$36.4 billion

(2024: US\$33 billion)

Common Equity Tier 1 Capital Ratio

14.9%

(2024: 14.9%)

Target Baseline Operating Expenses

US\$33.5 billion

(2024: US\$32.5 billion)

2025 dividend per share

\$0.75

(2024 dividend per share: \$0.87, including Special dividend \$0.21 per share)

Strategy performance indicators

- For details on the Group's strategy, please see pages 9 to
- For details on the Group's environmental, social and c Page 25. roach, please see
- For details on the Group's definition of sustainable c See page 36. and investment, please

Simplify organizational

US\$1.2 billion

Annualized impact of cost-saving measures in 2025

Growth in wealth Manag

\$80 billion

New net investment assets generated in 2025, of which Accounting for \$39 billion.

(2024: USD 64 billion generated, of which Asia US\$47 billion)

Sustainable Development Financing and

\$495.6 billion (4,)

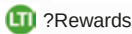
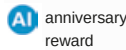
Cumulative total provided and facilitated since January 1, 2020 (2024: US\$393.6 billion) (3,)

Relevance to salary

- For details on executive director remuneration and p Page 216 "Director Remuneration

Remuneration policies help ensure rewards are to support the Group in achieving its strategic goals. Including reviewing performance based on financial and This is used to determine the overall variable remuneration of colleagues and executive directors.

Executive Directors' Annual Awards 2025 and 2023 to 2025 Key financial and strategic performance indicators Marked with the following symbols: ard scoring



strategy report	environment, society Governance reporting	Fin. review	risk review	Corporate Governance Report	Fin. statements	Supplementary Info.
Summary						

prospects

Group Fin. targets

- Our target is an average of 2026, 2027 and 2028 The return on equity has reached 17% or even higher (excluding required items to be noted). This revised target reflects group earnings an increasing trend, and our progress in strategy execution Think. - We will target annual revenue growth from 2026 to 2028 Target, strive to increase revenue in 2028 compared with 2027 5% (excluding items requiring attention and based on a fixed exchange rate calculation). - Dividend payout ratio targets for 2026, 2027 and 2028 The benchmark remains at 50%. Our target base payout ratio It is based on earnings per share (excluding significant items requiring attention For 2026:

Net interest income on

- We estimate that expected credit loss provisions in 2026 will account for As a percentage of the total average, approximately 40 basis points (taking into account holding loan balance for sale). In the medium term, we will Maintain this percentage within the planned range of 30 to 40 basis points. - The entire group continues to adhere to cost discipline. Compared with 2025 In comparison, we strive to maintain the growth rate of target benchmark operating expenses. Holding about 1%. - Target basis operating expenses are not included in the measurement and need to be noted Items of interest, but accounting and related briefs on announced restructuring plans the cost-saving impact of architectural measures. - We intend to continue to increase our common equity tier 1 capital ratio to The target range remains between 14% and 14.5%. Because of private Youhua Hang Seng Bank's common equity level 1 in January 2026 Capital generated a net impact of 110 basis points (based on our Common Equity Tier 1 capital ratio as of December 31, 2025 rate), the capital ratio may fall below Our target range. The above net impact includes the first day's impact on the general The impact on equity tier 1 capital ratio is about 120 basis points, but due to incremental hedging-related structures FX risk-weighted assets This was partially offset by a reversal of approximately 10 basis points.

- We expect to generate capital through our own operations, and common equity tier 1 capital ratio returns to or above the target range will not initiate any further share repurchases before the Equity Tier 1 capital ratio returned to within the target range. re The decision to initiate share repurchases will depend on our quarterly Considerations and processes for repurchases

► Our targets and expectations reflect our current view of the global macroeconomic Outlook of environmental and market influencing factors, such as market-induced interest rates (as of end January 2026), exchange rates

► We have not calculated average tangible equity capital excluding noteworthy items. rate of return, constant exchange rate income excluding noteworthy items, Target Benchmark Operating Expenses, Dividend Payout Ratio Target Benchmark or Bank Forward guidance on the bank's

► Return on average tangible equity excluding noteworthy items rate, fixed exchange rate income excluding noteworthy items, bank Business net interest income, target basis operating expenses and dividend payments For details on ratio target benchmarks, please see pages 93 to 94. related to For details of the common equity tier 1 ratio, see page 158.

Reshape the group and drive growth

Privatizing Hang Seng Bank - On January 26, 2026, after approval by shareholders and the court, We completed the privatization of Hang Seng Bank. Hang Seng Bank is currently A wholly-owned subsidiary of the HSBC Group, its shares are already in Hong Kong The Stock Exchange revokes its listing status. This transaction reflection set The group is confident in Hong Kong's prospects and further consolidates the Group's market leadership position. - By privatizing Hang Seng Bank, we expect two Hong Kong products Brand could achieve more than \$500 million before tax by the end of 2028 Revenue and cost synergies, related restructuring costs to US\$600 million. These costs are reported as significant and require attention project. We plan to focus on savings from cost synergies The new allocation to HSBC provides a range of competitive advantages and value-added returns. domain. - Our ambition also includes having two Hong Kong brand further generates Simplify organizational million in revenue and costs - In the 2024 full-year results, we announced the simplification of the agency measures, committing to reduce the cost base by Annualize costs and plan to simplify organizational structure to It is planned to	- We are taking various actions as planned to strive to ac Achieve the goal of bid, six months ahead of schedule. In 2025. I We have identified and saved approximately Operating expenses to impact Yuan. During this period, we recorded restructuring and Closing costs were \$1	- Targeted launch of retail business in Australia, Indonesia and Eç The strategic review is still ongoing and no decisions have Determined. The Group's corporate and institutional It has not been Strategic review of HSBC Life Singapore.
strategic trading - We also focus on HSBC's clear competitive advantages ar return opportunities and plans to convert non-strategic Approximately \$1.8 billion in additional cost to these categories. This amount is higher than US\$1.5 We intend to redeploy the capital generated Additional cost savings of - In 2025, we will further announce 11 transactions, which wi Helps enhance the investment capabilities required to In the fourth quarter of 2025, we complete the sale of and certain other loan portfolios, French life insurance German private banking and Bahrain retail banking. Completed or announced transactions expected to Reduce the cost of reallocating space. Related Contributing approximately US\$1 billion	Progress in increasing - In terms of wealth management business, we are moving to¹ Focus on business investment and hire more account As of December 31, 2019, the wealth management The Fin. balance reached 16%. Among them, the net new investment assets we reached US\$80 billion, of which US\$39 billion was In comparison, the net US\$64 billion, of which - Transaction banking continues to perform well and we take full ac own networks and capabilities to understand changes in opportunities brought about by change. In 2025, wholesale The business's expenses and other income performed well, An increase of 4%, especially benefiting from the growth of global foreign exchange business ► For details on strategic progress to 2025, please see "Strategy" ► Details of businesses held for sale and business portfolios ¹Please refer to Note	

Group Profile

Founded in 1865, HSBC is one of the world's largest banking and financial services institutions.

We use our unique expertise, capabilities, understanding and vision to help our clients explore global opportunities.

Group strategy The Group's strategy supports our ambition to become the world's most trustworthy bank by always putting customers first and service first. We have a huge International network, stable and strong asset and liability strength, and through the provision of group products and services, we are committed to meeting the financial needs of customers and supporting them to achieve their goals. Goal, galloping in the complex and ever-changing global market.

► Priorities Streamlined architecture, Flexible and sharp

► For details on the Group's strategy, please see Page 9.

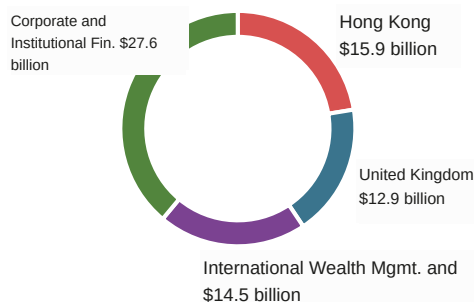
► uPromote customer-oriented culture

We are highly customer-oriented and help our customers win. Achieve outstanding results and strive to increase customer loyalty degree, and is involved in various businesses of the group in many areas, providing services to customers in the long run service.

► uAchieve focused Sustainable growth

As a premier international bank, we identify areas of competitive advantage.

Revenue by business (\$bn)¹



¹ Calculated based on revenue by business segment, excluding Corporate Centers.

The Hong Kong business has a market leading position, HSBC and Hang Seng Bank's retail banking and services, as well as

The UK business has market leadership positions, including Sales of banking and wealth management businesses (M&S Bank), as well as UK industrial and commercial finance including HSBC Innovation Bank).

Corporate and institutional financial management
Market leaders in the two fields of marketing industrial and commercial financial services outside banking and capital markets global banking

International wealth management and financial Excellence in wealth management and private banking services, investment management business and insurance business.

► For details of the Group's four major businesses and corporate centres, please see pages 16 to 24.

HSBC values

HSBC's values guide all the Group's actions, from strategic decisions to daily interactions with customers and colleagues. Our values are rooted in HSBC's history, heritage and corporate The foundation helps us implement the group's purpose.

Fast pace, ideals come true

Collect opinions and brainstorm

Hold each other accountable

Cross-border cooperation, hand in